

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester IV Examination, 2015-16

Paper No. BCH-222: Business Economics-II

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.** Define Market. What factors determine the scope of the Market? [14]**OR**

Discuss the price determination under monopoly in the short period. Will the monopolist always earn profit in this period? Explain. [14]

Question 2. Describe the types of Oligopoly. Distinguish between oligopoly and monopoly. [14]**OR**

Write notes on the following:

(i) Price Rigidity

(ii) Duopoly

[14]

Question 3. “The modern theory of distribution is the study of demand and supply of factors.” Explain this statement. [14]**OR**

Critically examine the Ricardian theory of rent. [14]

Question 4. Explain any two of the following:

(i) Standard of living theory of wages

(ii) Subsistence theory of wages

(iii) Residual claimant theory of wages

[14]

OR

Explain the liquidity preference theory of interest in detail. [14]

Question 5. Discuss the concept and nature of profit. Differentiate between gross and net profit. [14]

OR

Explain any two of the following statements:

- (i) Profit is the rent of ability
- (ii) Profit is the reward for risk-bearing
- (iii) Profit is a legalized dacoity

[14]